CHAPTER 5

ORGANISING

CHAPTER ESSENCE AT A GLANCE:
Design organizational structures: identification and division of work, departmentalization, functional versus divisional structures, formal vs informal networks, and delegation vs decentralization.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Organising Process Pipeline:** Sequential phases: Identification and division of work, Departmentalization (functional or product grouping), Assignment of duties to positions, and Establishing reporting relationships.

• **Functional vs Divisional Structures:** Functional structure groups jobs by specialized function (production, marketing, finance); Divisional structure groups all functions by distinct product lines (cosmetics, garments, footwear).

• **Formal vs Informal Organization:** Formal organization is deliberately designed by management to achieve targets with codified authority; Informal organization emerges spontaneously from personal social interactions.

• **Delegation and Decentralization Continuum:** Delegation transfers authority and responsibility from a manager to an immediate subordinate; Decentralization is the systematic dispersal of decision-making authority down to lowest operational levels.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Delegation Triad} = \text{Authority (Right to Command)} + \text{Responsibility (Obligation)} + \text{Accountability (Answerability)}$$

Three Inseparable Elements of Managerial Delegation

$$\text{Decentralization Scale} \iff \text{Delegation Multiplied Across All Tiers of the Enterprise}$$

Enterprise Decentralization Dispersal Principle

$$\text{Functional Structure Focus} = \text{Functional Specialization} \quad [\text{Single / Homogeneous Product}]$$

Operational Departmental Functional Archetype

$$\text{Divisional Structure Focus} = \text{Product Multiplicity} \quad [\text{Autonomous Multi-Product Profit Centers}]$$

Multi-Product Autonomous Divisional Archetype

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Authority can be delegated, but absolute accountability cannot be delegated; a manager remains entirely answerable to his superior for tasks delegated to subordinates.

• **Alert:** Functional structure is best suited for single-product enterprises needing specialization; divisional structure is essential for enterprises dealing in diversified multi-product lines.

• **Alert:** Informal organization cannot be eliminated by management; smart executives utilize informal communication grapevines to complement formal channels.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Organising as a function of management. State its primary objective. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The process of identifying and grouping the work to be performed, defining responsibility and authority, and establishing relationships for enabling people to work effectively together. **[1 Mark]**

• **Objective:** To establish an orderly framework that harmonizes human resources with physical assets to execute planned goals. **[1 Mark]**

2. 'Accountability cannot be delegated.' Explain this statement with an illustrative example. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Principle of Absolute Accountability:** While a manager can delegate authority and responsibility to a subordinate, the manager remains personally answerable to top management for ultimate completion. **[1 Mark]**

• **Example:** If a sales manager assigns quota collection to a salesman who defaults, the sales manager is held accountable by the director. **[1 Mark]**

3. Distinguish between a Functional Structure and a Divisional Structure across three parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Basis of Grouping:** Functional groups jobs by specialized function (production, marketing, HR); Divisional groups jobs on the basis of distinct product lines. **[1 Mark]**

• **Responsibility for Profit:** Functional makes it difficult to fix profit responsibility on a single department; Divisional makes each product division an autonomous profit center. **[1 Mark]**

• **Suitability:** Functional suits enterprises manufacturing a single or homogeneous line; Divisional suits large multi-product diversified enterprises. **[1 Mark]**

4. Explain the three essential elements of Delegation: Authority, Responsibility, and Accountability. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Authority:** The legitimate right of a manager to command subordinates and utilize organizational resources within prescribed limits. **[1 Mark]**

• **Responsibility:** The moral and operational obligation of a subordinate to properly perform the assigned duties. **[1 Mark]**

• **Accountability:** Answerability for the final outcome of the assigned task, which flows upwards and cannot be delegated. **[1 Mark]**

5. Distinguish between Formal Organisation and Informal Organisation across three parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Origin:** Formal is deliberately designed by top management; Informal arises spontaneously from personal social interactions and friendships. **[1 Mark]**

• **Structure and Rules:** Formal has well-defined rigid hierarchical reporting lines and written rules; Informal has no structured lines or written rules. **[1 Mark]**

• **Communication Flow:** Formal communication follows the official scalar chain; Informal communication moves rapidly in any direction via grapevine. **[1 Mark]**

6. Explain the importance of Decentralization in modern large-scale business enterprises. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Develops Initiative Among Subordinates:** Empowers lower managers to take independent decisions, building future executive leadership. **[1 Mark]**

• **Relief to Top Management:** Reduces routine decision-making burdens on top executives, allowing them to focus on corporate expansion. **[1 Mark]**

• **Quick Decision-Making:** Decisions are made at the operational point of action without waiting for lengthy top-level bureaucratic approvals. **[1 Mark]**

7. Explain the four sequential steps involved in the Organising Process. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Step 1 (Identification and Division of Work):** Dividing total planned work into manageable activities according to predetermined plans to avoid duplication. **[1 Mark]**

• **Step 2 (Departmentalization):** Grouping related activities together into specialized departments (either by function, product, or geographic territory). **[1 Mark]**

• **Step 3 (Assignment of Duties):** Allocating specific jobs to individual employees according to their specialized skills, competence, and qualifications. **[1 Mark]**

• **Step 4 (Establishing Reporting Relationships):** Defining clearly who reports to whom, creating a transparent scalar chain of authority. **[1 Mark]**